The green shoots of an economic recovery

17 November 2025

Dear Fellow South African,

In the week that we prepare to host the first summit of the G20 on African soil, we are able to showcase a country and an economy on the rise.

A number of key economic indicators and developments in the past week point to the green shoots of an emerging economic recovery.

Unemployment is down. Data from Statistics South Africa show that the official unemployment rate fell to 31.9% between July and September this year, down from 33.2% recorded in the previous quarter. Nearly 250,000 more people were in employment in the third quarter. Of these, around 130,000 were added in the construction sector.

The Medium Term Budget Policy Statement delivered last week points to a sustained turnaround in government finances. We are on track to achieve a third consecutive primary budget surplus. This means that, excluding interest payments on our debt, we are collecting more in revenue than we are spending. This is a sign of prudent financial management, giving us space to steadily reduce our debt to sustainable levels.

Also last week, our sovereign credit rating was upgraded by S&P. This is the first such upgrade from the agency in nearly two decades. An improved rating generally leads to lower borrowing costs, which allows for more funds to be invested in the economy and in meeting social needs. Among the factors S&P cited for the positive outlook were Eskom's improved performance, strong tax collection and the broad structural reform momentum having 'picked up pace.'

When we established Operation Vulindlela in 2020 as a government coordinating mechanism to implement transformative reforms and boost economic growth, the initial focus was on the network sectors as well as immigration reform. We are seeing steady progress in the logistics sector, notably with respect to improved performance at our ports. Measures to allow private sector companies to operate on the national freight rail network are also at an advanced stage.

The most noteworthy improvements have been witnessed in the energy sector, with Eskom now on the road to recovery, massive investment in renewable energy generation, and vastly improved electricity supply.

In support of South Africa's ratings upgrade, S&P cited the recently launched Phase II of Operation Vulindlela, which is focusing on changes in local government, digital transformation, visa regimes, spatial inequality and others.

Modelling from the University of Stellenbosch's Bureau of Economic Research (BER) has estimated that the potential impact of the Operation Vulindlela reforms could lift South Africa's long-term growth rate by as much as 3.5% when fully implemented. In citing this modelling, the analyst JP Landman writes that "the reforms are a journey, but they have started working. Step by step, South Africa is opening its economy, modernising infrastructure and rebuilding credibility".

Despite considerable headwinds that have including a global pandemic, a debilitating energy crisis and more recently, a difficult global trade environment, we have stayed the course on economic recovery and are now seeing this pay off.

Following a ruinous period of economic stagnation and capture of the state, we have been able to achieve sustained progress in a relatively short period of time. This is in no small part owing to the strength of the partnerships forged between government, business, labour and civil society.

These far-reaching economic changes have a direct and material impact on the lives of every South African, on their ability to lead dignified lives, to access public services, to secure employment, and to provide for their families.

We are determined to sustain the momentum of this economic recovery, so that we can drive inclusive growth, create jobs and improve the lives of our citizens.

With best regards,

Cyril Ramaphosa is the President of South Africa

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